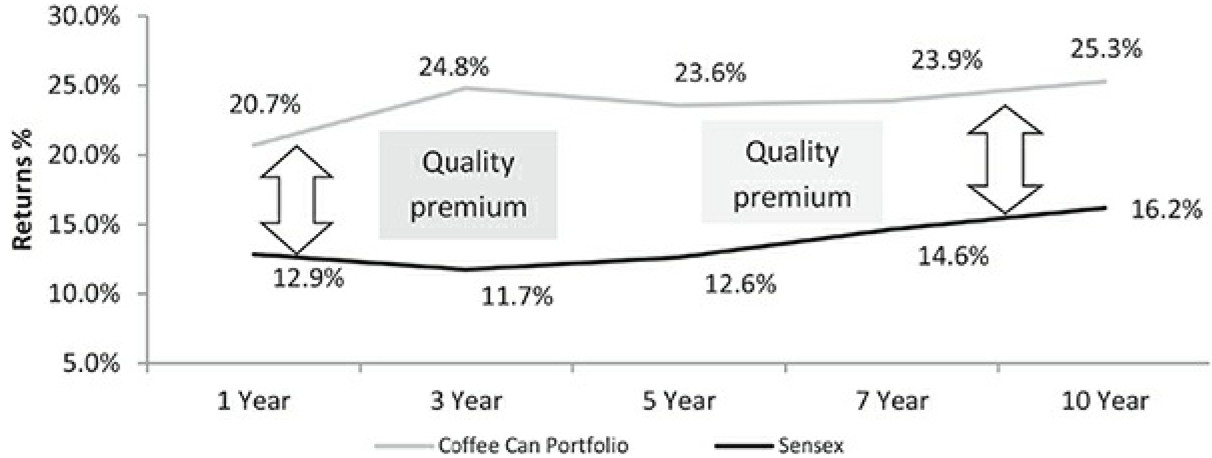
Exhibit 61: The 'Quality Premium' (Coffee Can Portfolio median returns minus Sensex median returns) exists for all investment horizons



Source: Bloomberg, Ambit Capital
Note: Period under consideration is July 2000–June 2017. The investment horizons are calculated on a weekly rolling basis. For instance the median one-year return is the median returns generated by considering 6008 one-year periods (for Coffee Can Portfolio) including 01/01/2001 to 01/01/2002, 08/01/2001 to 08/01/2002 and so on. Sensex returns are slightly different from those shown in the second exhibit of this chapter because of the different time periods in consideration.

Why does this happen? Why do the Coffee Can Portfolios (CCPs) outperform the Sensex so handsomely over the three-year and five-year horizons? Remember, over shorter holding periods the Sensex's returns are more volatile whilst over longer holding periods the volatility in the Sensex's returns reduces very sharply. The CCPs are full of companies that are the Rahul Dravids of the business world—rare, determined and constantly seeking to improve the edge or the advantage they enjoy vis-à-vis their competitors. As a result, the CCPs are able to deliver healthy returns with low volatility even over three-year and five-year horizons. Basically, the inherent consistency in the performance of the CCP companies gives the CCPs an even bigger advantage over the Sensex over the three-year and five-year horizons. As with Rahul Dravid, and the CCP companies: 'when the going gets tough, the tough get going'.